



CENTUM

tangible wealth



Half Year Financial Results to September 30 2010

23 November 2010

Agenda

1. Overview

- 1.1 About Us
- 1.2 Our Portfolio
- 1.3 Strategic Outlook

2. Performance

- 2.1 Centum vs. NSE Index
- 2.2 Company vs. Group Financial Statements Presentation
- 2.3 Financial Results - Company Highlights
- 2.4 Financial Results Company & Group Financial Statements
- 2.5 Financial Statements Review

3. Strategy Highlights

4. Outlook

1.1 About Us

Our Business

- Centum is a leading East African investment company that has been listed on the Nairobi Stock Exchange since its founding in 1967
- We are an investment channel providing investors with access to a portfolio of inaccessible, quality, diversified investments
- Our key objective is to consistently generate a return on capital that is above market returns through investments in Private Equity, Quoted Private Equity and Real Estate & Infrastructure

Our Mission

- To create real tangible wealth by providing the channel through which investors access and build extraordinary enterprises in Africa

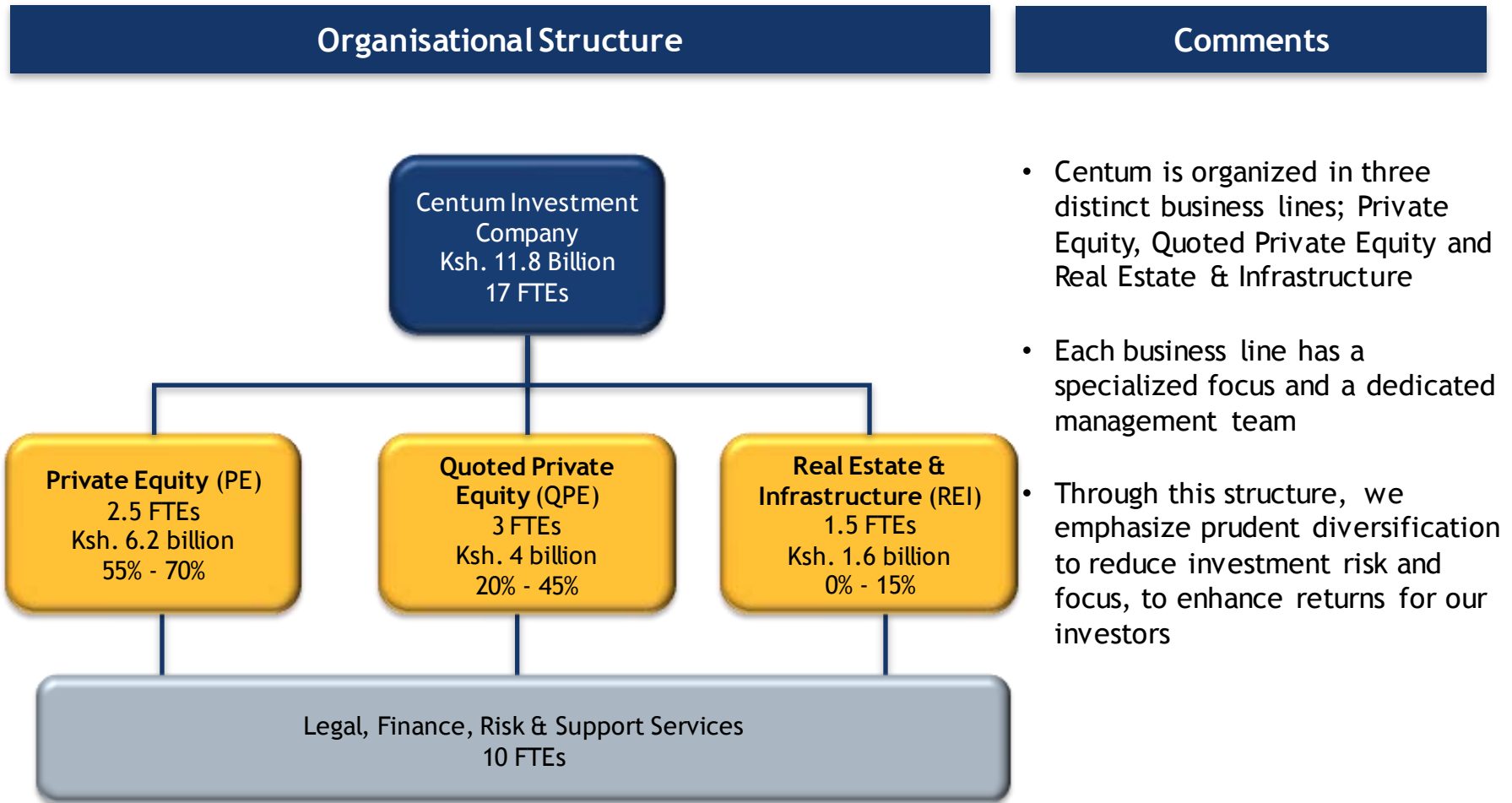
Our Vision

- To be Africa's foremost investment channel

Our Shareholder Base

53% Institutional Investors **20%** High net worth Individuals **27%** Retail

1.2 Our Portfolio



1.3 Strategic Outlook

“Where we are going”

- 1

BRAND



 - Position Centum as **Africa’s foremost** investment channel
- 2

FOCUS



 - Maintain focus through **3 distinct** business lines
- 3

GROWTH



 - Grow assets under management to **Ksh. 30 billion** by 2014 - including third party fund management
- 4

DIVERSI -
FICATION



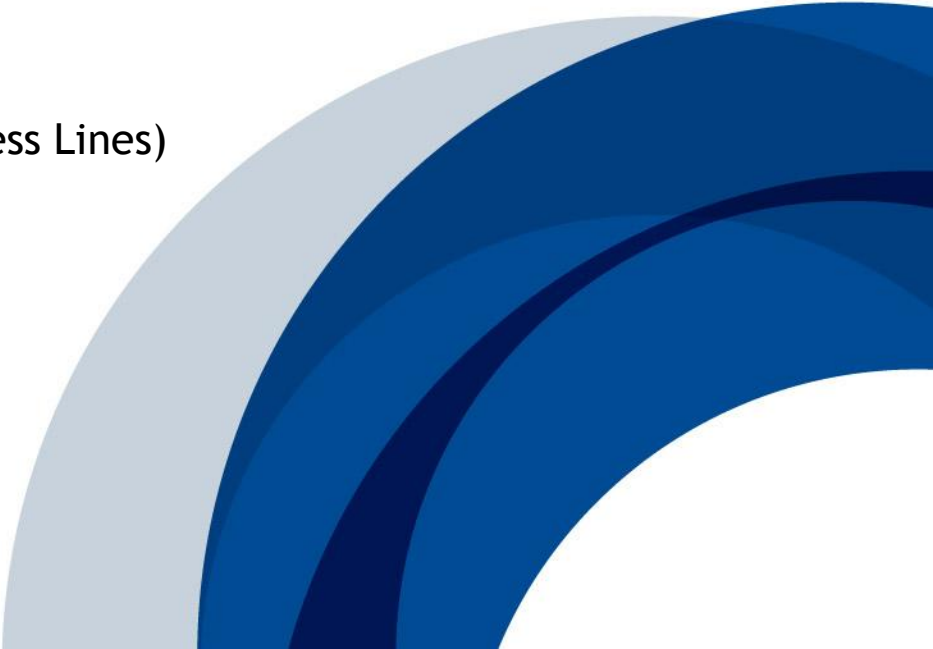
 - Increase geographical diversification through **pan African** investments - target 50% of the portfolio to be outside Kenya by 2014
- 5

PERFORMANCE



 - Active portfolio management to ensure consistent **market beating** returns - target portfolio returns in excess of 25%

2. Performance

- 2.1 Centum vs. NSE Index
 - 2.2 Company vs. Group Financial Statements Presentation Format
 - 2.3 Financial Results Company Highlights
 - 2.4 Financial Results - Company and Group Financial Statements
 - 2.5 Financial Statements Review:
(Income, Portfolio, Costs and Business Lines)
- 
- A decorative graphic consisting of several overlapping, curved, semi-circular shapes in various shades of blue, located in the bottom right corner of the slide.

2.1 Centum vs. NSE Index

Market beating Returns

2006 - 2011 1 HF Historical Performance

Year	Centum Share price return	Centum NAV Return	NSE 20 Return	Centum Outperformance	
				Share Price	NAV
2006	56%	32%	8%	48%	24%
2007	173%	35%	21%	152%	14%
2008	0%	-3%	-5%	5%	2%
2009	-61%	-30%	-40%	-21%	10%
2010	67%	56%	43%	24%	13%
2011 1 HF	47%	15%	15%	31%	0%
Average	47%	18%	7%	40%	10%

2.3 Financial Highlights



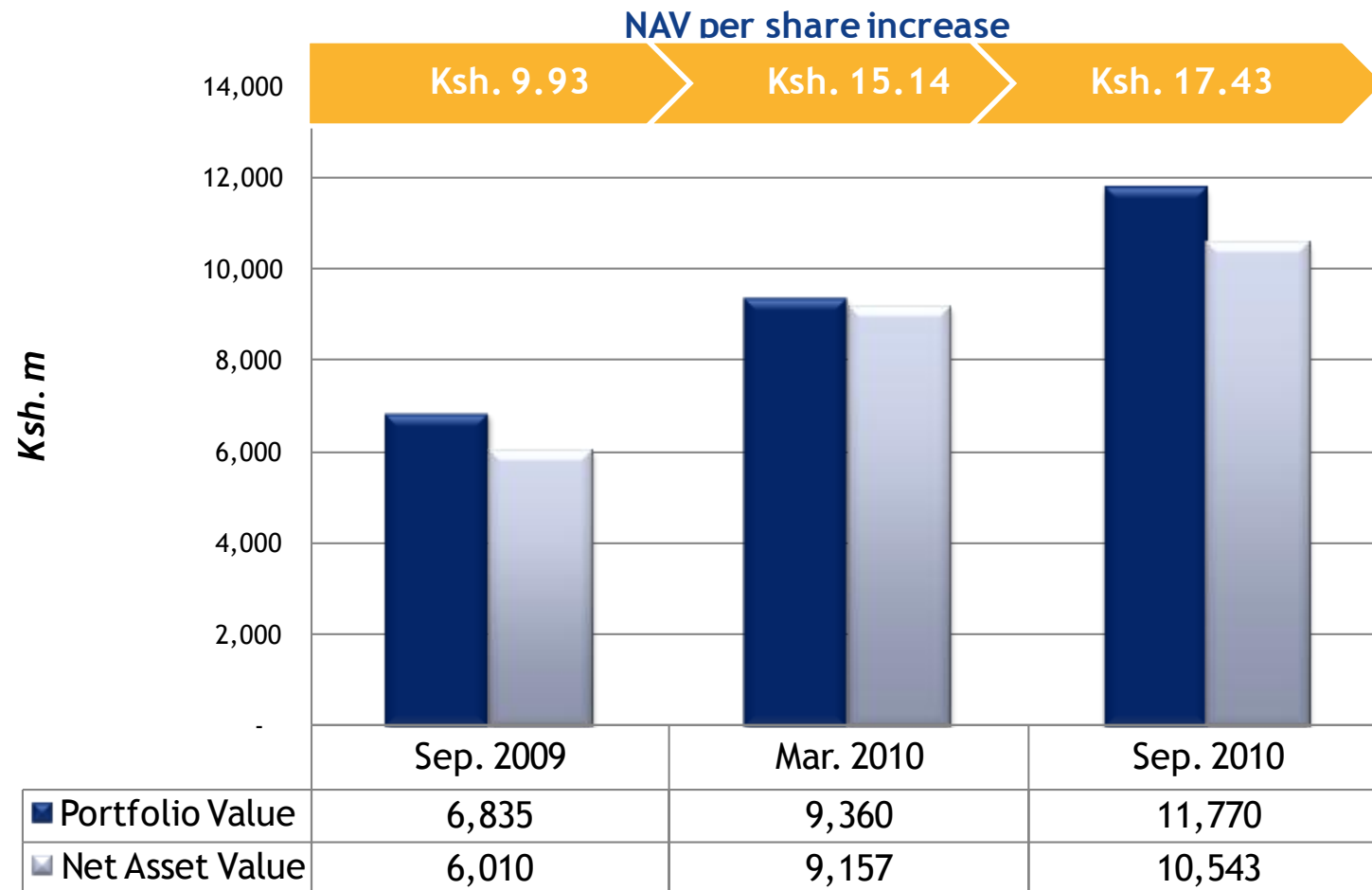
2.3 Company Highlights

Kshs. m	Sept' 10	Mar' 10	Sept'09
Investment Activity (Kshs.'m)			
Investments	(2,599)	(1,221)	(611)
Realization Proceeds	951	1,348	63
Net Divestments/(Investments)	(1,648)	127	548
Return			
Total Return	1,386	3,298	320
Return on Opening Equity (ROE)	15.1%	56.3%	5.5%
Cost to Closing Portfolio Value	1.1%	2.1%	1.1%
Financial Position			
Portfolio Value	11,770	9,360	6,835
Net Debt	1,308	-	483
Liquidity	893	2,094	
Gearing	12.4%	-	8.0%
Net Asset Value (NAV)	10,543	9,157	6,010
NAV/Share	17.43	15.13	9.93

2.3 Company Highlights - Business Lines

Kshs. m	Sept' 10	PE	QPE	REI
Investment Activity (Kshs.'m)				
Investments	(2,599)	-	(1,053)	(1,546)
Realization Proceeds	951	1	950	-
Net Divestments/(Investments)	(1,648)	1	(103)	(1,546)
Return				
Total Return	1,386	902	497	(13)
Return on Opening Equity	15.1%	16%	14%	-36%
Financial Position				
Portfolio Value	11,770	6,194	4,023	1,517
Net Asset Value	10,543	6,319	3,946	278

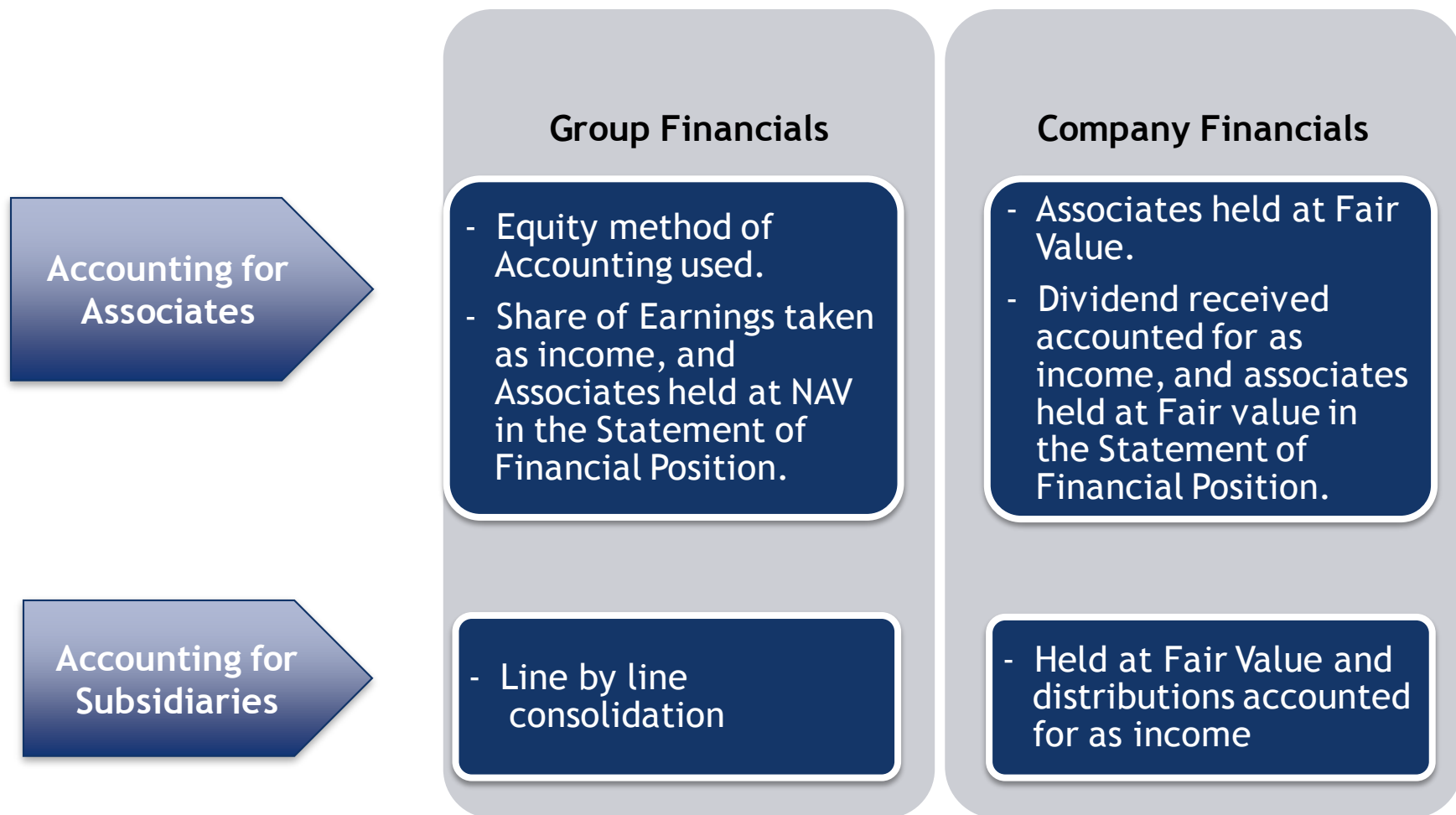
2.5.4 Portfolio Value vs. Net Asset Value



2.4 Company & Group Financial Statements



2.2 Group vs Company Financials Presentation



2.4.1 Company and Group

Statement of Comprehensive Income

<i>Kshs. 'm</i>	Company			Group		
	Sept '10	Sept'09	Var %	Sept '10	Sept'09	Var %
Income	956	183	422%	705	64	909%
Expenses	(196)	(103)	-90%	(140)	(103)	359%
Share of Associate earnings	-	-	-	361	154	1344%
Profit Before Tax	760	80	850%	926	114	712%
Tax	8	(1)	700%	(81)	(40)	102
Profit After Tax	768	79	872%	845	73	1057%
Other Compr. Income	618	241	156%	123	229	(46%)
Total Compr. Income	1,386	320	333%	968	303	219%
EPS				1.40	0.13	127%

2.4.2 Company and Group

Statement of Financial Position

Kshs. m	Company		Group	
	Sept '10	Mar'10	Sept '10	Mar'10
Assets				
Portfolio value	11,770	9,360	10,100	7,709
Other Assets	217	197	199	547
	11,987	9,557	10,299	8,256
Capital & Liabilities				
Debt	1,343	-	1,343	-
Other liabilities	101	400	131	400
Capital & Reserves	10,543	9,157	8,825	7,856
	11,987	9,557	10,299	8,256
NAV per Share (Kshs.)	17.43	16.65		

2.4.3 Group and Company Statement of Cash Flows

Kshs. m	Group	
	Sept' 10	Sept'09
Cash generated from operations and investing activities	(1,699)	(318)
Cash from financing activities	953	(5)
Decrease in cash	(746)	(323)
Opening cash	393	(160)
Closing cash	(353)	(483)

2.4.3 Group and Company Statement of Cash Flows (Liquidity Position)

	Sept' 10	Mar' 10	Sept'09
Facilities in place:			
Revolving overdraft facilities	1,200	700	500
5 year term loan	1,000	1,000	-
Total facilities	2,200	1,700	500
Closing cash	(353)	394	(483)
Term loan drawn down	(954)	-	-
Liquidity Position	893	2,094	17

2.5 Financial Statements Review (Income)



2.5.1 Company and Group Income

	Company		Group	
Kshs. m	Sept' 10	Sept'09	Sept' 10	Sept'09
Dividends Receivable	333	178	143	59
Interest receivable	88	-	24	-
Rent income	2	-	-	-
Gains on disposal of investment	480	1	480	1
Other income	53	4	58	4
	956	183	705	64

2.5.2 Group Share of Associate Earning

Kshs. m	Sept' 10	Sept'09	Var %
Beverage	225	130	73%
Financial	133	38	250%
Others	3	(14)	-
	361	154	134%

2.5.3 Company Other Comprehensive Income

Kshs. m	Sept' 10	Sept'09
Fair value gain(Loss) in Quoted Investments	51	166
Fair value gain(Loss) in Unquoted Investments	134	-
Fair value gain(Loss) on Investment in Subsidiaries	352	-
Fair value gain(Loss) on Investments in Associates	571	76
Reserves released on disposal of investments	(490)	(1)
	618	241

2.5.3 Group Other Comprehensive Income

Kshs. m	Sep' 10	Sep' 10
Fair value gain(Loss) in Quoted Investments	406	166
Fair value gain(Loss) in Unquoted Investments	134	-
Share of other comprehensive income in associates	73	64
Reserves released on disposal of investments	(490)	(1)
	123	229

2.5 Financial Statements Review (Portfolio Costs)



2.5.10 Company and Group Portfolio Costs

Company

Kshs. m	PE	QPE	RE&I	Sep' 10	Sep' 09
Administration & Operating costs	68	48	17	133	79
Finance charges	-	5	58	63	24
	68	53	75	196	103

Group

Kshs. m	PE	QPE	RE&I	Sep' 10	Sep' 09
Administration & Operating costs	68	48	19	135	77
Finance charges	-	5	-	5	26
	69	53	18	140	103

2.5 Financial Statements Review

(Business Lines)



2.5.11 Company Statement of Comprehensive Income

Business Line Performance

Kshs. m	PE	QPE	RE&I	TOTAL
Dividends Receivable	256	77	-	333
Interest receivable	-	29	59	88
Rent income	-	-	2	2
Realised gain on disposal of investment		(9)		(9)
Unrealised value movements	706	450	-	1,156
Other income	4	-	-	4
Gross Return	966	547	61	1,574
Portfolio costs	(68)	(53)	(75)	(196)
Net return	98	494	(14)	1,378
Tax	4	3	1	8
Total Return	902	497	(13)	1,386

2.5.11 Group Statement of Comprehensive Income

Business Line Performance

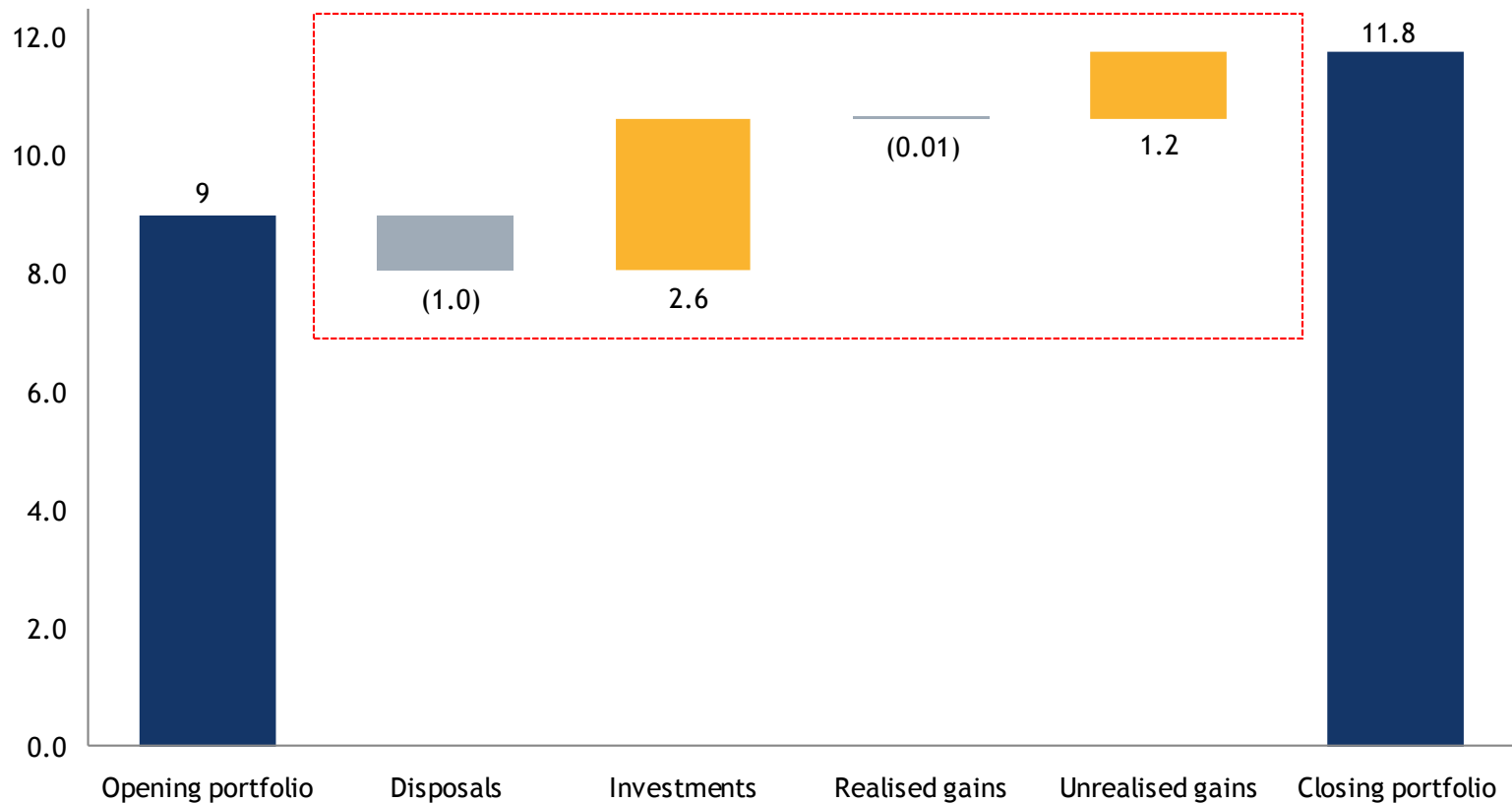
Kshs. m	PE	QPE	RE&I	TOTAL
Dividends Receivable	66	77	-	143
Rent income	-	-	-	-
Interest receivable	-	24	-	24
Gain on disposal of investment	-	480	-	480
Other income	6	49	3	58
Income	72	630	3	705
Portfolio costs	(69)	(53)	(18)	(140)
Share of Associates Earnings	361	-	-	361
Profit Before Tax	364	577	(15)	926
Tax	(85)	3	1	(81)
Profit After Tax	279	580	(14)	845
Other Comprehensive Income	207	(84)	-	123
Total Comprehensive Income	486	496	(14)	968

2.5 Financial Statements Review (Portfolio)



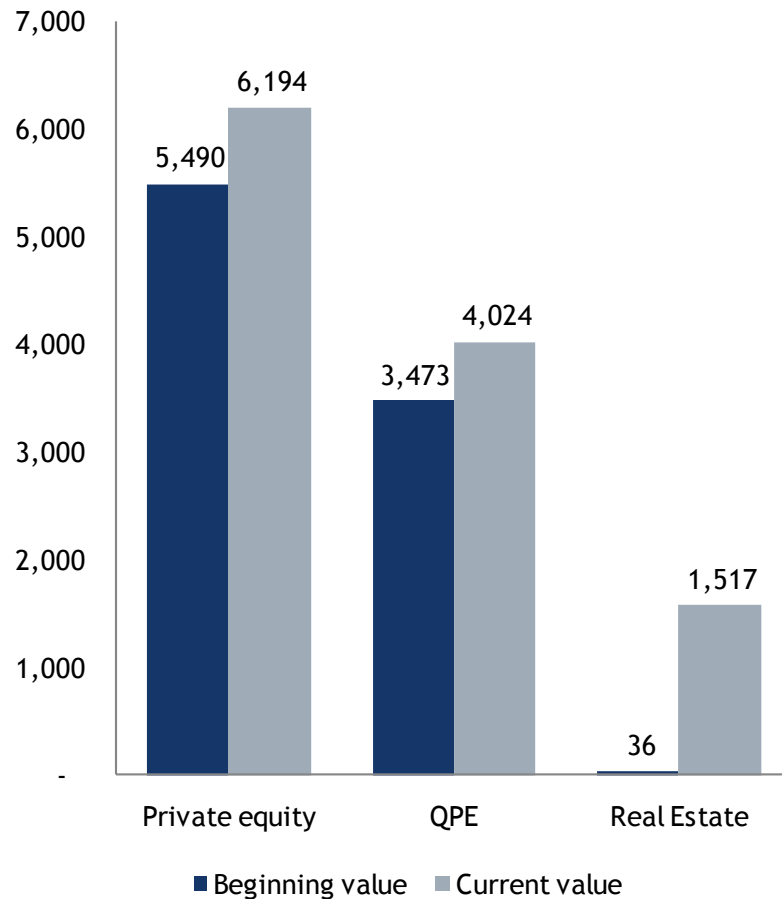
2.5.4 Portfolio Movement - Kshs. 2.8 billion

Portfolio movement (Ksh. billions)

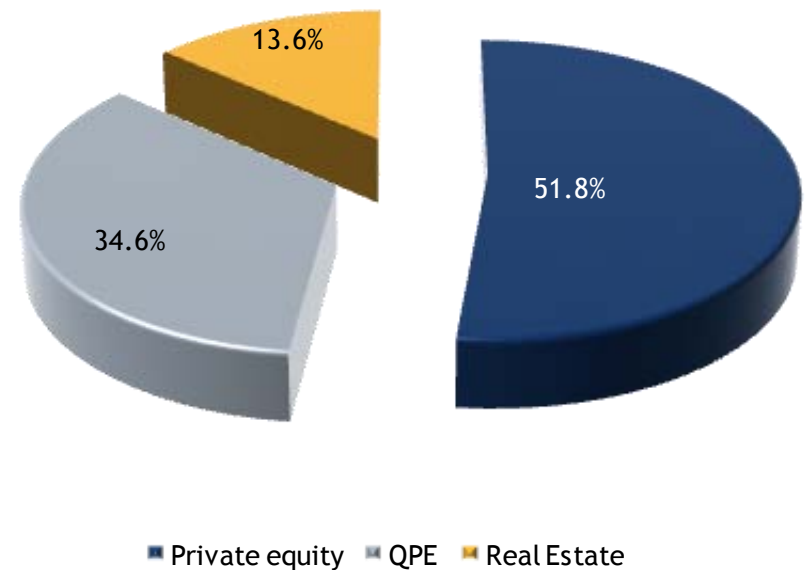


2.5.4 Centum Portfolio - Business Line

Portfolio movement (millions) per business line



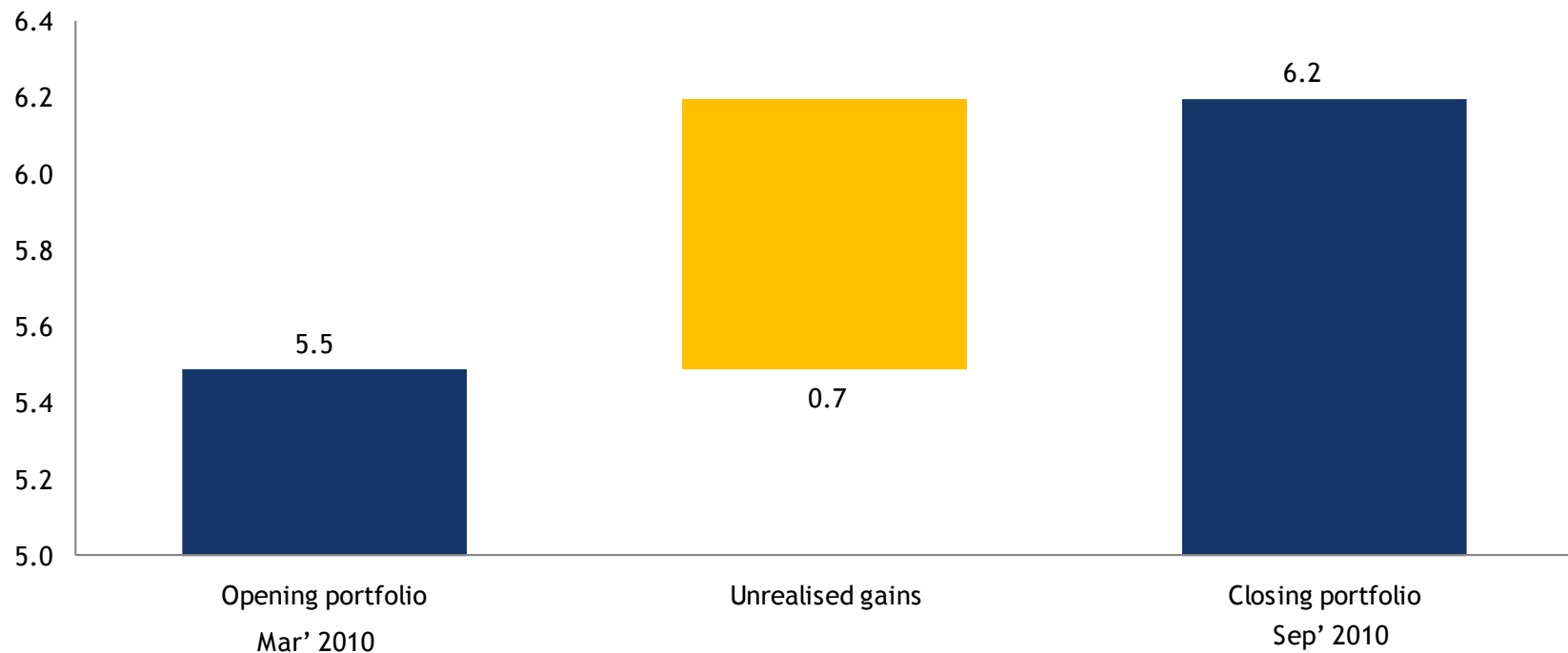
Business line asset split



Total KES 11.8B

2.5.5 Portfolio Movement - PE

Portfolio movement (Ksh. billions)

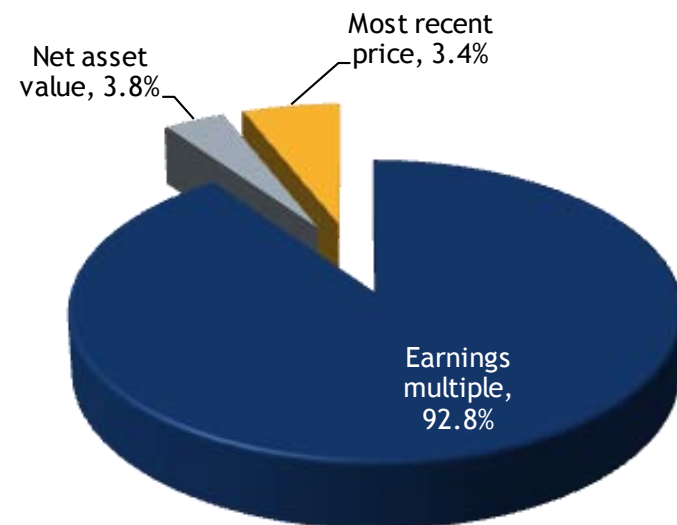


2.5.5 PE valuation methodologies

Valuation basis

- 1 Price of a recent transaction;
- 2 Earnings multiple;
- 3 Net asset value;

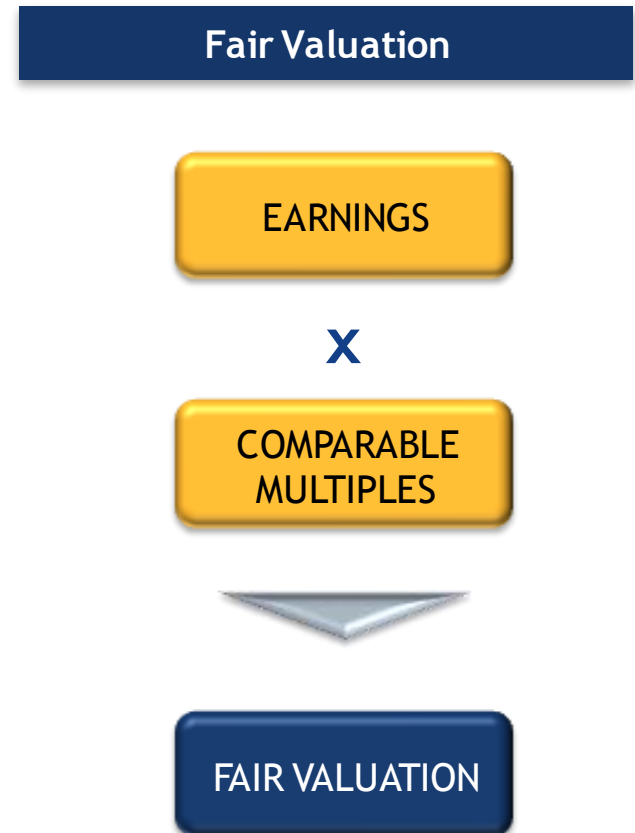
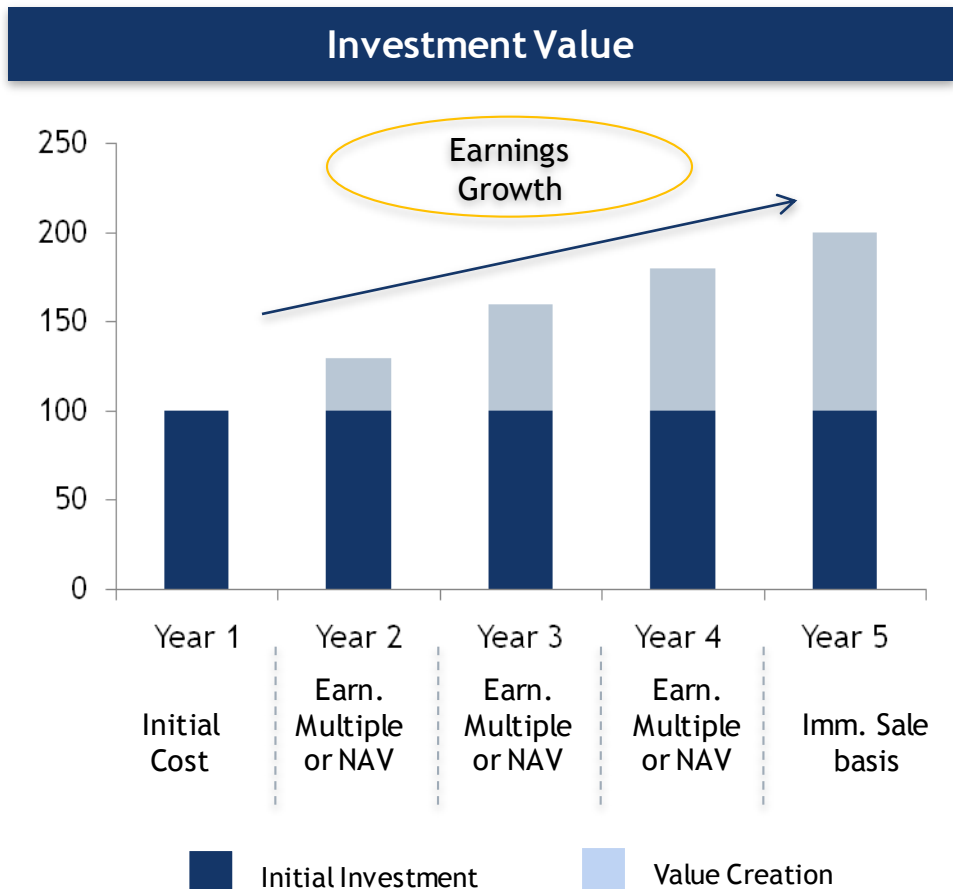
Valuation basis proportions



Total KES 6.2B

2.5.5 Private Equity Portfolio Valuation

Choice of valuation methodology



2.5.5 Unrealised value gains

Positive value movements as result of:

PE
704m



Earnings improvement from the PE investments

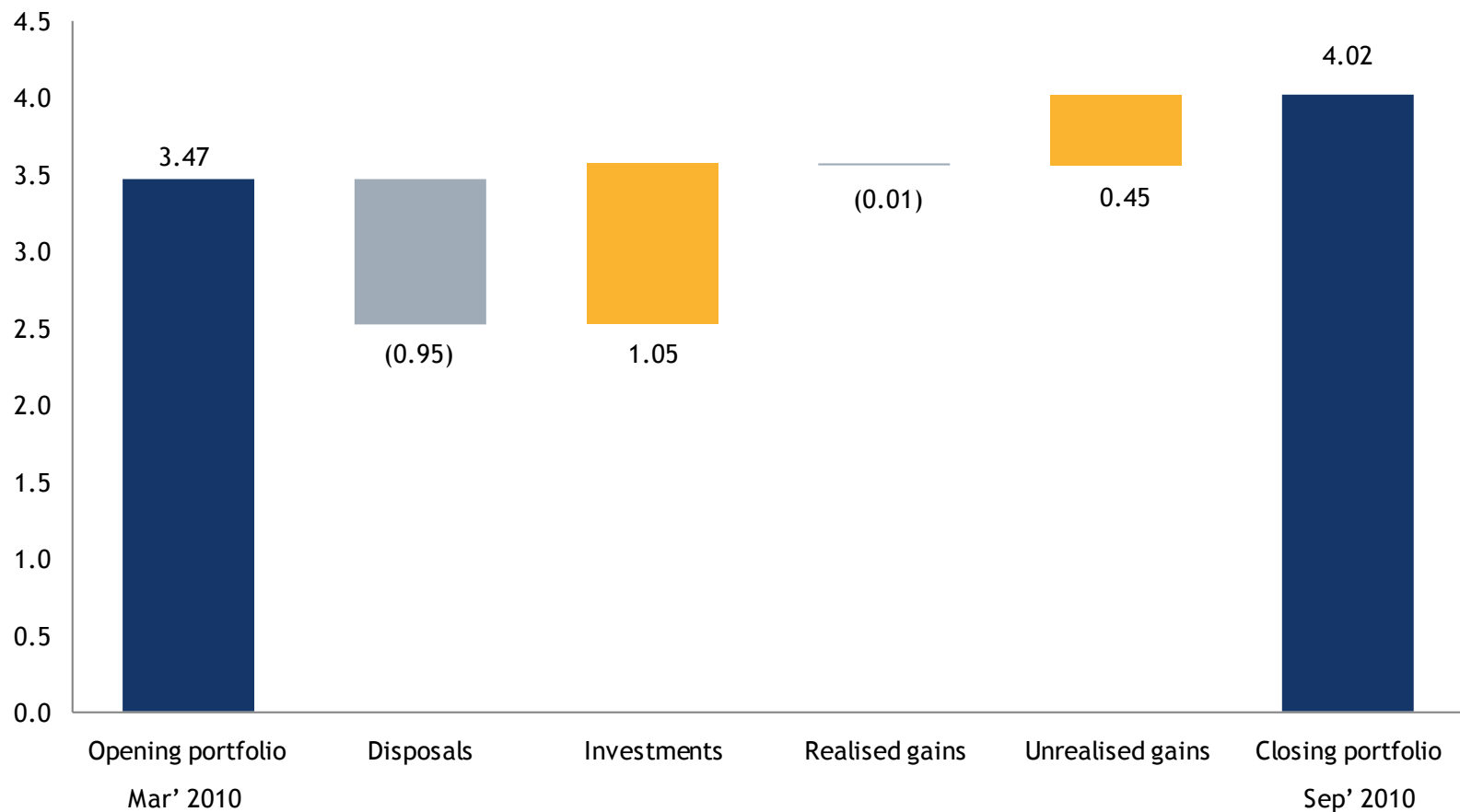
Weighed Average EBIT Multiple	Sep 30, 2010	Mar 31, 2010	Mar 31, 2009
Before liquidity discount	9.94x	9.94x	6.94x
After liquidity discount	6.96x	6.96x	4.86x

Of the Kshs.704m increase in PE value as at September 2010:

- Kshs.644m - Earnings multiple method: Increase in value driven by earnings growth. Used same multiples as in March 31, 2010
- Kshs.60 - Net assets valuation method: increase in value driven by earnings growth

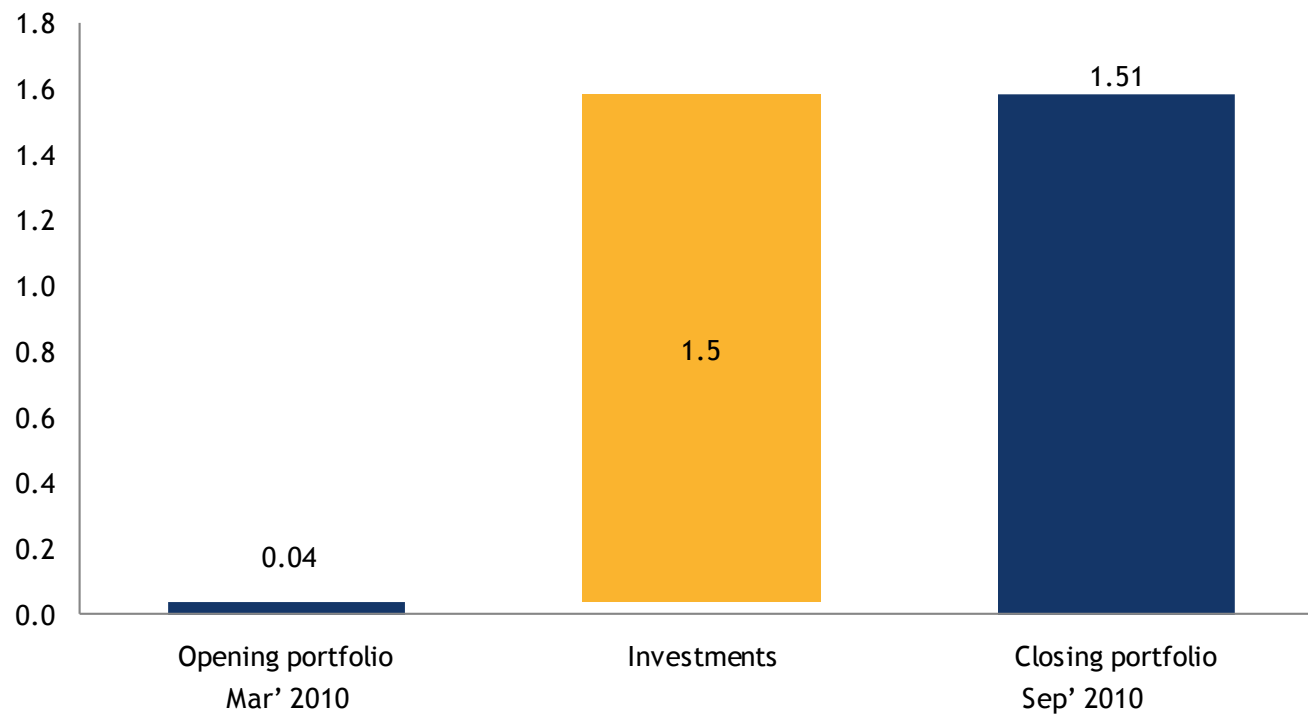
2.5.6 Portfolio Movement - QPE

Portfolio movement (Ksh. billions)



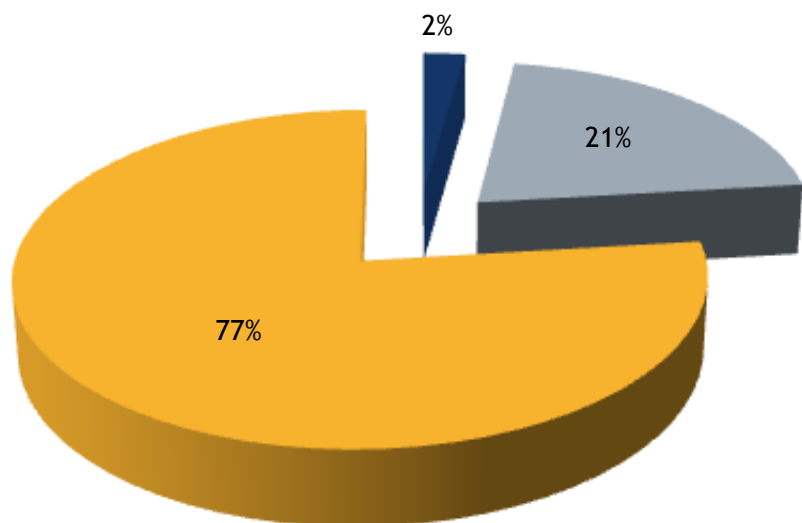
2.5.7 RE portfolio movement

Portfolio movement (Ksh. billions)



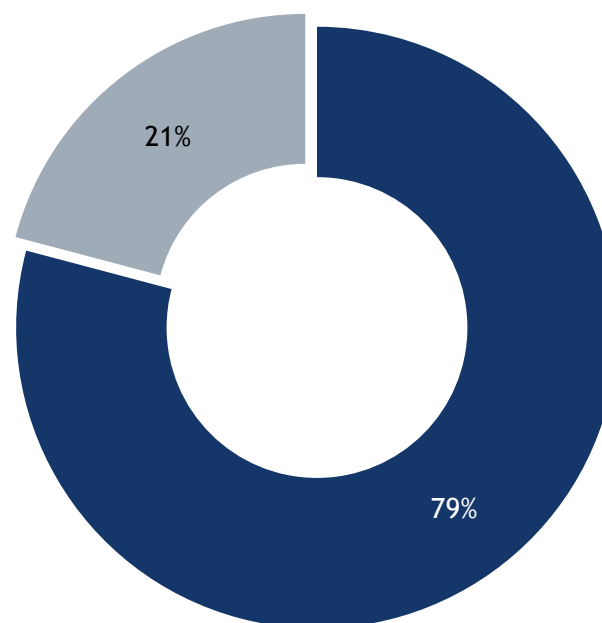
2.5.8 RE Portfolio

Portfolio Composition



■ UHURU HEIGHTS ■ PEARL MARINA ■ RUNDA CLOSEBURN

Geographic exposure



■ Kenya ■ Uganda

2.5.8 RE Investments

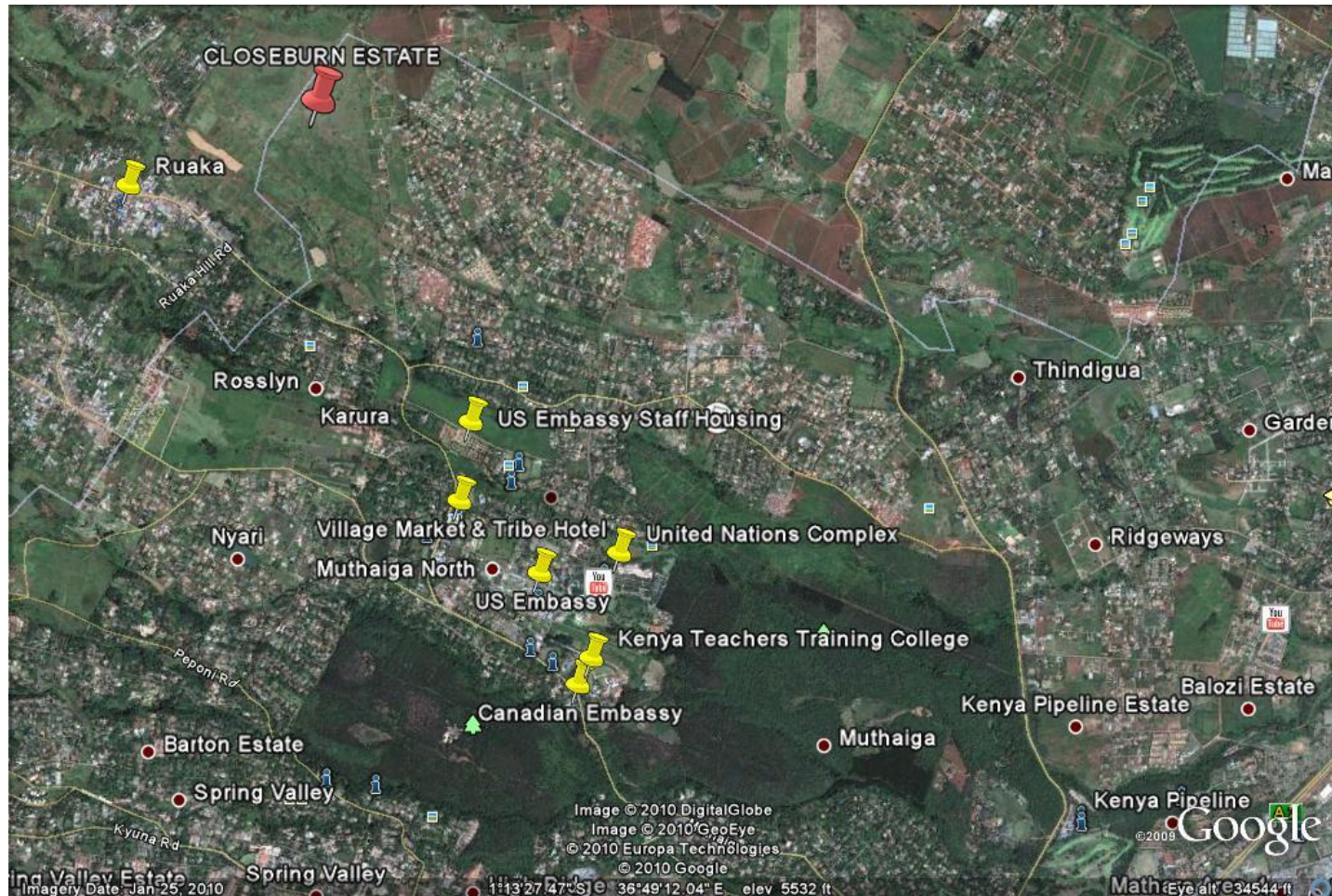
Project	Location	Project Description
1 Integrated development on 100-acre portion of prime land in Nairobi's most sought after address; Owned by: Runda Closeburn Ltd ("RCL")	Nairobi, Kenya	100-acres of land acquired in a diplomatic suburb and within the Nairobi City limits. - Neighboring organizations include the US Embassy, Canadian High Commission, and the Global headquarters of the United Nations Environmental Program (UNEP);
2 Integrated development on 300-acre portion of prime land located close to Entebbe airport and Kampala with over 2km of lake frontage; Owned by: Pearl Marina Estates Ltd ("PMEL")	Garuga Peninsula, Entebbe, Uganda	300 acres of freehold land acquired in a prime area along the shores of Lake Victoria and 20 minutes from the International Airport and Kampala; - The land is already serviced with electricity, piped water, and an all-weather murram access road from the Entebbe-Kampala Road with plans in place to tarmac the existing road;

2.5.8 REI Projects - Investment Rationale

	Consideration	RCL	PMEL
1	Market Opportunity	• Prime location in a diplomatic cluster • Congestion in the Nairobi CBD area; • Scarcity of sizeable serviced land; • Demand for property in the area;	• Serious congestion and sprawl in the Kampala metro area; • Growing presence of expatriate community; • Proximity to Entebbe Airport;
2	Approach	• Competitive concept design process; • PRINCE2 project management; • Mixed use development (commercial, residential, retail, hospitality, etc.) • Phased development to start within 12 months;	• Competitive concept design process; • PRINCE2 project management; • Mixed use development (commercial, residential, retail, etc) • Phased development to start within 12 months;
3	Funding Options	• Acquisition of land fully funded; • Sale of shares in RCL to investors; • Debt financing at project level; • Third party funds; • Partnership with developers;	• Acquisition of land fully funded; • Sale of shares in PMEL to investors; • Debt financing at project level; • Third party funds; • Partnership with developers;
4	Benefits	• Easier to optimize development program; • Value uplift from phasing development; • No restrictions on development options;	• Easier to optimize development program; • Phased development enables value uplift; • No restrictions on development options;
5	Exit Options	• Sale of leases to developers; • Sale of shares in RCL to financial investors;	• Sale of leases to developers; • Sale of shares in PMEL to financial investors;

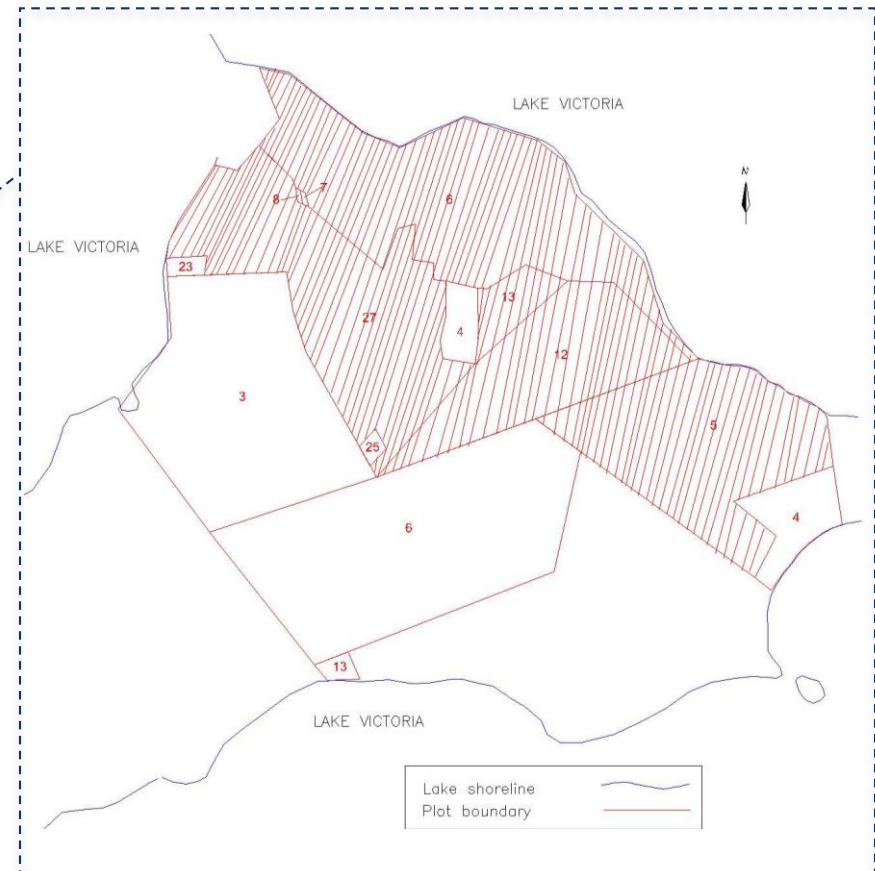
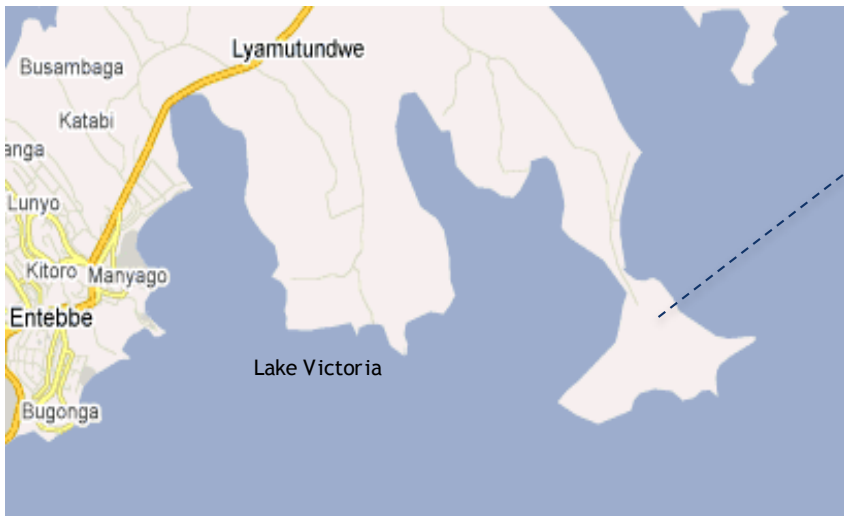
2.5.8 REI Projects - Runda Closeburn (Kenya)

Location of the Proposed Development



2.5.8 REI Projects - Pearl Marina Estates (Uganda)

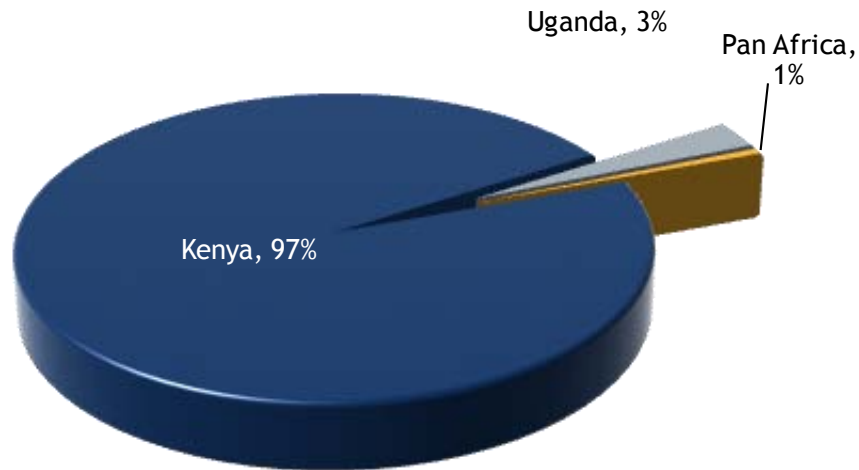
Location of the Proposed Development



Plot #	Acreage	Status
13 & 27 (shaded)	90.86	Acquired
6(N), 12 & 5	206.28	Acquired

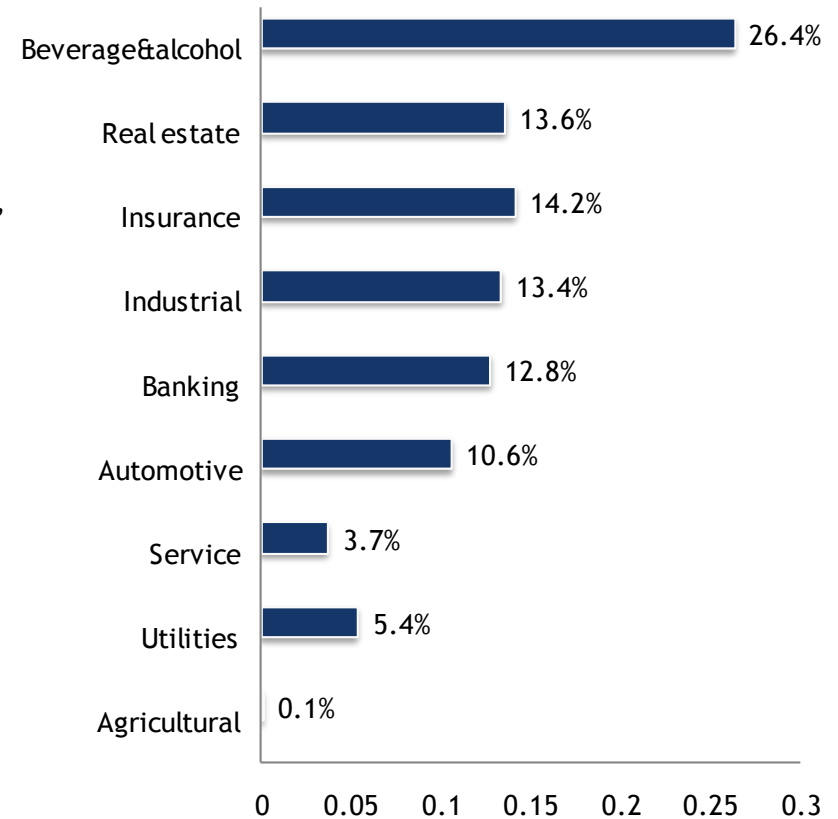
2.5.9 Centum Portfolio Exposure

Geographical exposure



Total KES 11.8B

Sectoral exposure



3. Progress Strategy



Progress against Strategy

We are ahead of our ambitious targets

Strategic Objective	Progress
1. Scale up assets under Management 	• Target to grow assets under management to Kshs 30 Billion by 2014 • As at September 2010 ahead of March 2011 target.
2. Deliver Market beating returns 	• On track to beat the market in 2011
3. Geographical diversification 	• Increased investment activity outside Kenya • In the process of cross listing in Uganda
4. Manage costs 	• Maintained the total costs to asset ratio at below 2.5%

4. Outlook



4 Outlook

- Positive political and economic outlook across East Africa
- Considerable opportunity and scope across our three business lines to deliver even better returns
- The impact of some of the significant investments and initiatives we have made will start kicking in from 2011/2012

Thank You



Q & A

